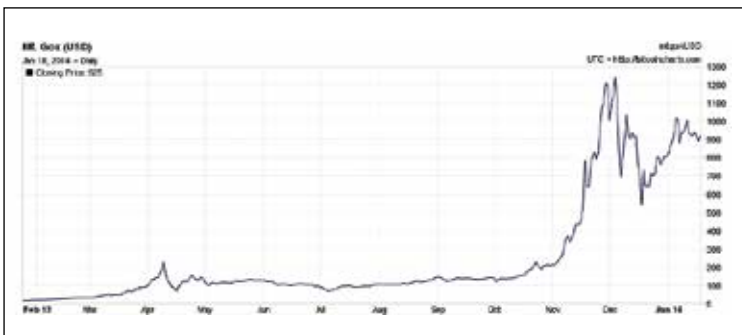


Bitcoins have risen just as easily. Bitcoins gained immense publicity last year which was the most well performing year for the currency. Billionaires have arisen and disappeared with the inventor of the cryptocurrency being the first billionaire having a net worth of \$1.1Billion. Unfortunately, he isn't featured on the Forbes list since he is only a billionaire each time the bitcoin exchange rate touches \$1000. Also, there is the likely possibility that this person doesn't exist since the name Satoshi Nakamoto has been hailed as pseudonym.

So why is it a good investment?

There are multiple factors to something being a good investment, while we aren't investment gurus it isn't rocket science to figure out what could possibly be a good thing to invest in. Let's take a look at the facts, this is a cryptocurrency that has been around for slightly over 4 years now and in this period it has grown immensely. So it's a well performing concept. The number of coins that can be mined is limited to 21 million coins. So there is never going to be a dilution as is the case with stocks. In fact the parameter of difficulty which we went into in the last chapter ensures that the mining process is maintained at a constant pace till all 21 million coins are in circulation. Also since the quantity is limited the rate per Bitcoin is only going to go up. This makes it similar to ever natural resource we have on earth which happens to be limited and thus gains value over time. The final aspect that adds value to something is acceptance; and Bitcoin has been well received over the years. Online retailers have started accepting Bitcoins, donation services have started accepting Bitcoins. Even the Singapore government is currently planning to tax Bitcoins so even official channels have opened up



BTC > USD exchange rate over one year (2013)